

firms that have an excellent or very good MOU rating in three of the past five years, among other parameters—last year, is working on a number of initiatives. This includes rightsizing the organisation, which has about 440 employees right now; imbibing new technologies such as artificial intelligence in segments like finance, HR, bid-

Scale of operations

- ▶ **₹65,000 crore:** Order book
- ▶ **440:** Number of employees
- ▶ **16,000 km:** Commissioned railway infrastructure
- ▶ **₹1.5 lakh crore:** Project expenditure
- ▶ **38 Project Implementation Units** at 26 locations (as of FY23-end)

What next

- ▶ The firm is targeting an order book of ₹1 lakh crore by the end of FY24
- ▶ It will continue working in non-railway projects
- ▶ It is looking to include AI in operations such as finance, HR, bidding and project execution
- ▶ It will get into manufacturing of coaches and rolling stock
- ▶ It is eyeing setting up data centres at a later date

ding, and eventually project execution; exploring innovations and getting the latest technologies in its projects; as well as focussing on execution strategies. Gaur highlights that project execution is RVNL's core strength.

With an eye on the future, the company has also moved to manufacturing and has signed an agreement with Russian firms Metrowagonmash and Locomotive Electronic Systems for the manufacture and supply of

120 Vande Bharat sleeper train sets. Gaur says this is just the start of the manufacturing journey.

The company is also looking at getting into the data centre business, as it has a strong team of engineers with a background in electronics.

While RVNL reported a 6.2% decline in its net profit in the third quarter of FY24 at ₹358.6 crore, compared to ₹382.4 crore in the year-ago period, analysts remain upbeat about its prospects.

"RVNL was formed to carry out critical railway projects. By design, there was a nomination clause for railway orders, which helped RVNL in shoring up the order backlog. Its performance has been spectacular over the past 10 years, with a 26% CAGR in revenues and a 24% CAGR in profits," notes Rohit Natarajan, Vice President and Research Analyst at Antique Stock Broking.

However, the government's policy on railways has changed, and so have the priorities. "RVNL will also have to transform itself, and how it adapts will be critical for the company's future," says Natarajan. He adds that it will have to focus on new sectors, such as manufacturing and international projects, where it is already making headway.

"It has a ₹35,000-crore project in Kyrgyzstan and has also bid for the ₹83,000-crore Trans Kalahari Railway Project [in Africa]. It also has an order backlog [of ₹65,000 crore] for domestic projects. "With the possibility of a ₹14,400-crore railway contract manufacturing order, RVNL has the potential to transform its order book to ₹2 lakh crore by FY26, which will be a big task for the company," he says.

Vikas Gupta, smallcase Manager and CEO, Chief Investment Strategist, at investment advisory Omni-Science Capital, also notes that RVNL has been growing at a steady pace, with profits increasing consistently. "It has a large order book of over ₹65,000 crore and is targeting an order book of ₹1 lakh crore for FY24. Given the large capex planned by the Railways and RVNL's diversification outside railways into other sectors and other countries, the order book is likely to get bigger," he says.

The Navratna status will give it significant financial freedom in terms of capex and the choice of investing in particular projects, he says, adding that this should help in the quick turnaround of new projects.

With nearly a year and a half left before his retirement, Gaur has much more left to do. It is thanks to this enterprising attitude that he's been adjudged the winner in the PSU category of BT-PwC India's Best CEO ranking this year. **BT**

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